

SHIFTING SANDS

Schemes where the fund manager has been changed

Fund	Launch date	AUM (₹ crore)	CAGR (%)		Top 5 holdings
			1-year	3-year	
Axis Arbitrage Fund	14/08/14	5,785.02	4.04	4.43	Axis Money Market Fund - Direct Plan Growth Option, Ultra Short-Term Fund - Direct Plan Growth, 182 Days T-bill, Reliance Industries, HDFC
Axis Quant Fund	30/06/21	1,529.67	NA	NA	HDFC Bank, ICICI Bank, Infosys, Titan, Sun Pharmaceutical
Axis Value Fund	22/09/21	239.53	NA	NA	Sun Pharmaceutical, Tata Motors, Bajaj Holdings & Investment, Tech Mahindra, HCL Technologies
Axis Nifty ETF	03/07/17	126.20	20.17	15.63	Reliance Industries, Infosys, HDFC Bank, ICICI Bank, HDFC
Axis Banking ETF	05/11/20	56.54	9.49	NA	HDFC Bank, ICICI Bank, Axis Bank, Kotak Mahindra Bank, SBI
Axis Technology ETF	25/03/21	29.28	42.36	NA	Infosys, TCS, HCL Technologies, Wipro, Tech Mahindra
Axis Consumption ETF	17/09/21	11.68	NA	NA	ITC, Bharti Airtel, Hindustan Unilever, Asian Paints, Maruti Suzuki India

SOURCE AXIS MF, VALUE RESEARCH

tities—was allegedly involved in front-running activities that resulted in cumulative unlawful gains of ₹2.86 crore.

FRONT-RUNNING refers to an illegal practice wherein an entity trades in shares of a particular company on the basis of unpublished or inside information that a fund house is going to execute a trade in the company. It is looked upon as a serious offence in capital markets, although it would be early to conclude in the current matter if it is a case of insider trading. “The essence in a front-running charge is the pattern of trading, proximity of the transaction with the substantial order, and the proof of knowledge of information pertaining to the substantial order,” says Sumit Agrawal, Founder of Regstreet Law Advisors, who is also a former Sebi official and an author of a book on the Sebi Act. “Front-running is keeping Sebi on its heels these days. It is one of the most terrible crimes in the securities market and, unfortunately, it is prevalent

more than we would like to think. Sebi as a regulator has been trying to deal with the menace with amendments to its mutual fund- and FUTP [Prohibition of Fraudulent and Unfair Trade Practices] Regulations.”

Incidentally, people familiar with the matter say that the initial probe has revealed certain chats and communications—discussing stocks and trades among other things—that violate the code of conduct, and at least one of the sacked fund managers was not very forthcoming with information and responses. They, however, add that it would be a bit far-fetched at this juncture to conclude that it was indeed front-running.

“Traders and fund managers cannot be freely discussing stocks and trades with people in the market. There is a way in which this communication can be done as per compliance. Certain chats over instant messaging platforms appeared suspicious and an explanation was sought,” says a person familiar with the matter. “Further, responses that the probe team were seeking were not given properly and one [fund manager] even failed to